

BALANCE OF PAYMENTS, EXCHANGE RATES AND FOREX RESERVES

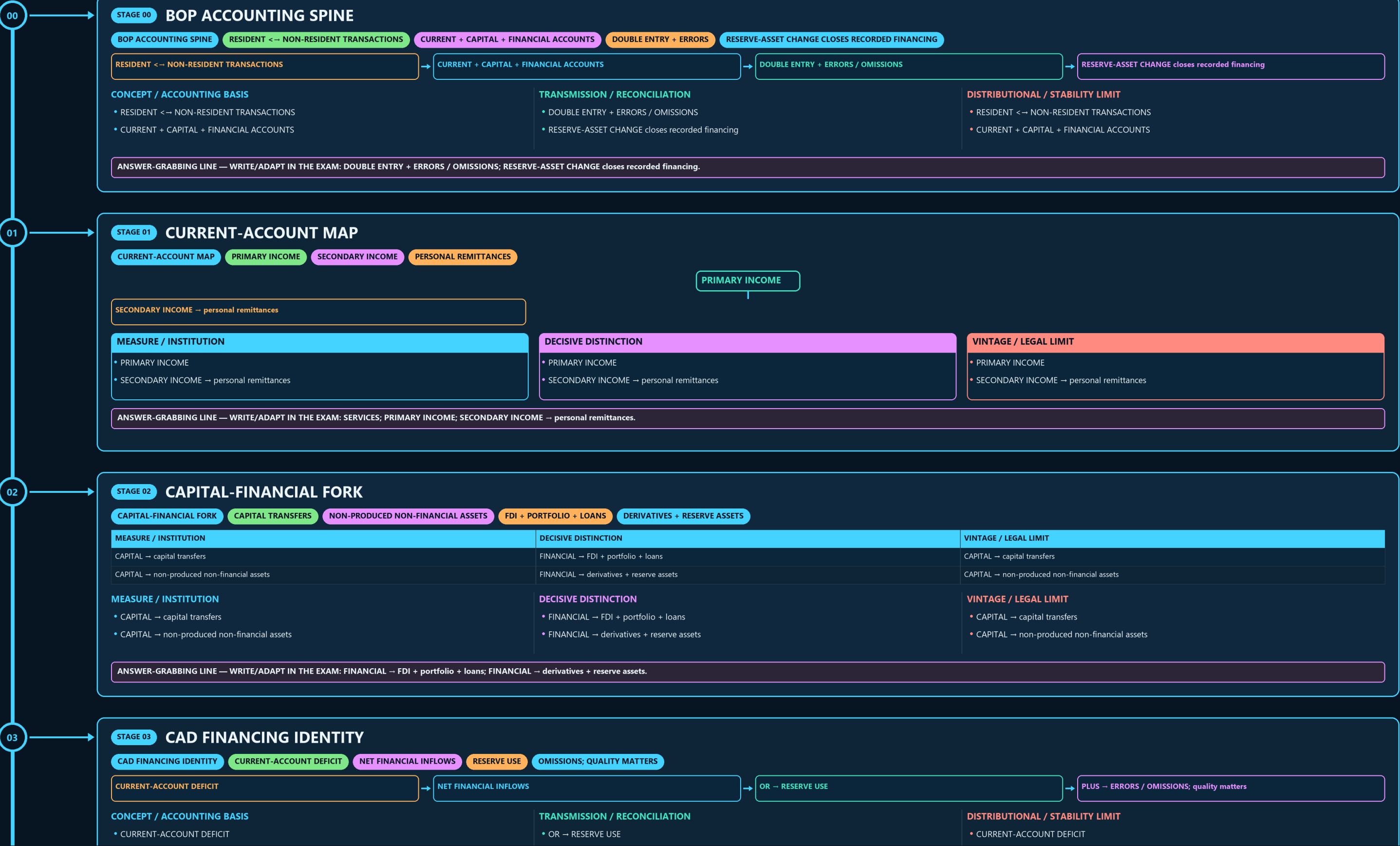
BOP ACCOUNTING SPINE → CURRENT-ACCOUNT MAP → CAPITAL-FINANCIAL FORK → CAD FINANCING IDENTITY → TRADE-DEFICIT OFFSETS → CURRENCY QUOTE BOARD

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • active generation g1 • explicit approval of this exact generation is required • all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles



03

STAGE 03

CAD FINANCING IDENTITY

CAD FINANCING IDENTITY

CURRENT-ACCOUNT DEFICIT

NET FINANCIAL INFLOWS

RESERVE USE

OMISSIONS; QUALITY MATTERS

CURRENT-ACCOUNT DEFICIT

→

NET FINANCIAL INFLOWS

→

OR → RESERVE USE

→

PLUS → ERRORS / OMISSIONS; quality matters

CONCEPT / ACCOUNTING BASIS

CURRENT-ACCOUNT DEFICIT

NET FINANCIAL INFLOWS

TRANSMISSION / RECONCILIATION

OR → RESERVE USE

PLUS → ERRORS / OMISSIONS; quality matters

DISTRIBUTIONAL / STABILITY LIMIT

CURRENT-ACCOUNT DEFICIT

NET FINANCIAL INFLOWS

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: FINANCIAL → FDI + portfolio + loans; FINANCIAL → derivatives + reserve assets.

04

STAGE 04

TRADE-DEFICIT OFFSETS

TRADE-DEFICIT OFFSETS

MERCHANDISE DEFICIT

NET SERVICES

PRIMARY INCOME

SECONDARY INCOME

CURRENT ACCOUNT

CONCEPT / ACCOUNTING BASIS

MERCHANDISE DEFICIT

NET SERVICES

TRANSMISSION / RECONCILIATION

PRIMARY INCOME

SECONDARY INCOME → CURRENT ACCOUNT

DISTRIBUTIONAL / STABILITY LIMIT

MERCHANDISE DEFICIT

NET SERVICES

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: NET SERVICES; PRIMARY INCOME; SECONDARY INCOME → CURRENT ACCOUNT.

05

STAGE 05

CURRENCY QUOTE BOARD

CURRENCY QUOTE BOARD

RUPEES PER US DOLLAR

NUMBER RISES

DOLLAR COSTS MORE

ALWAYS STATE QUOTE BEFORE DIRECTION

QUOTE → RUPEES PER US DOLLAR

NUMBER RISES → dollar costs more

→

RUPEE → DEPRECIATES

→

ALWAYS state quote before direction

CONCEPT / ACCOUNTING BASIS

QUOTE → RUPEES PER US DOLLAR

NUMBER RISES → dollar costs more

TRANSMISSION / RECONCILIATION

RUPEE → DEPRECIATES

ALWAYS state quote before direction

DISTRIBUTIONAL / STABILITY LIMIT

QUOTE → RUPEES PER US DOLLAR

NUMBER RISES → dollar costs more

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RUPEE → DEPRECIATES; ALWAYS state quote before direction.

06

STAGE 06

RATE-CHANGE VOCABULARY

RATE-CHANGE VOCABULARY

OFFICIAL PARITY

OBSERVED CURRENCY PRICE

RELATIVE-PRICE ADJUSTED

MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
MARKET → depreciation / appreciation	NOMINAL → observed currency price	MARKET → depreciation / appreciation
OFFICIAL PARITY → devaluation / revaluation	REAL → relative-price adjusted	OFFICIAL PARITY → devaluation / revaluation

MEASURE / INSTITUTION

MARKET → depreciation / appreciation

OFFICIAL PARITY → devaluation / revaluation

DECISIVE DISTINCTION

NOMINAL → observed currency price

REAL → relative-price adjusted

VINTAGE / LEGAL LIMIT

MARKET → depreciation / appreciation

OFFICIAL PARITY → devaluation / revaluation

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: NOMINAL → observed currency price; REAL → relative-price adjusted.

BALANCE OF PAYMENTS, EXCHANGE RATES AND FOREX RESERVES • TILE 2/4 • same master rows 2371-5605 of 10348 • continues below

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RUPEE → DEPRECIATES; ALWAYS state quote before direction.

06

STAGE 06 RATE-CHANGE VOCABULARY

RATE-CHANGE VOCABULARY OFFICIAL PARITY OBSERVED CURRENCY PRICE RELATIVE-PRICE ADJUSTED

MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
MARKET → depreciation / appreciation	NOMINAL → observed currency price	MARKET → depreciation / appreciation
OFFICIAL PARITY → devaluation / revaluation	REAL → relative-price adjusted	OFFICIAL PARITY → devaluation / revaluation
MEASURE / INSTITUTION - MARKET → depreciation / appreciation - OFFICIAL PARITY → devaluation / revaluation	DECISIVE DISTINCTION - NOMINAL → observed currency price - REAL → relative-price adjusted	VINTAGE / LEGAL LIMIT - MARKET → depreciation / appreciation - OFFICIAL PARITY → devaluation / revaluation

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: NOMINAL → observed currency price; REAL → relative-price adjusted.

07

STAGE 07 MANAGED-FLOAT RAIL

MANAGED-FLOAT RAIL MARKET DEMAND + SUPPLY RUPEE RATE MOVES MAY SMOOTH EXCESSIVE VOLATILITY NO DECLARED FIXED TARGET LEVEL

MARKET DEMAND + SUPPLY	RUPEE RATE MOVES	RBI → may smooth excessive volatility	NO DECLARED FIXED TARGET LEVEL
CONCEPT / ACCOUNTING BASIS - MARKET DEMAND + SUPPLY - RUPEE RATE MOVES	TRANSMISSION / RECONCILIATION - RBI → may smooth excessive volatility - NO DECLARED FIXED TARGET LEVEL	DISTRIBUTIONAL / STABILITY LIMIT - MARKET DEMAND + SUPPLY - RUPEE RATE MOVES	

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: RBI → may smooth excessive volatility; NO DECLARED FIXED TARGET LEVEL.

08

STAGE 08 INTERVENTION-LIQUIDITY MATRIX

INTERVENTION-LIQUIDITY MATRIX RBI SELLS DOLLARS RUPEES ABSORBED RBI BUYS DOLLARS RUPEES INJECTED OFFSETS LIQUIDITY EFFECT COSTS + UNDERLYING PRESSURE

MEASURE / INSTITUTION	DECISIVE DISTINCTION	VINTAGE / LEGAL LIMIT
RBI SELLS DOLLARS → rupees absorbed	STERILISATION → offsets liquidity effect	RBI SELLS DOLLARS → rupees absorbed
RBI BUYS DOLLARS → rupees injected	LIMIT → costs + underlying pressure	RBI BUYS DOLLARS → rupees injected
MEASURE / INSTITUTION - RBI SELLS DOLLARS → rupees absorbed - RBI BUYS DOLLARS → rupees injected	DECISIVE DISTINCTION - STERILISATION → offsets liquidity effect - LIMIT → costs + underlying pressure	VINTAGE / LEGAL LIMIT - RBI SELLS DOLLARS → rupees absorbed - RBI BUYS DOLLARS → rupees injected

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: STERILISATION → offsets liquidity effect; LIMIT → costs + underlying pressure.

09

STAGE 09 NEER-REER LADDER

NEER-REER LADDER BILATERAL RATE TRADE-WEIGHTED NEER RELATIVE-PRICE ADJUSTED REER USE RBI CONVENTION + BASE + WEIGHTS

TRADE-WEIGHTED NEER	RELATIVE-PRICE ADJUSTED REER	INTERPRET → use RBI convention + base + weights
CONCEPT / ACCOUNTING BASIS - BILATERAL RATE - TRADE-WEIGHTED NEER	TRANSMISSION / RECONCILIATION - RELATIVE-PRICE ADJUSTED REER - INTERPRET → use RBI convention + base + weights	DISTRIBUTIONAL / STABILITY LIMIT - BILATERAL RATE - TRADE-WEIGHTED NEER

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: INTERPRET → use RBI convention + base + weights.

09

STAGE 09 NEER-REER LADDER

NEER-REER LADDER BILATERAL RATE TRADE-WEIGHTED NEER RELATIVE-PRICE ADJUSTED REER USE RBI CONVENTION + BASE + WEIGHTS

BILATERAL RATE

TRADE-WEIGHTED NEER

RELATIVE-PRICE ADJUSTED REER

INTERPRET → use RBI convention + base + weights

CONCEPT / ACCOUNTING BASIS

- BILATERAL RATE
- TRADE-WEIGHTED NEER

TRANSMISSION / RECONCILIATION

- RELATIVE-PRICE ADJUSTED REER
- INTERPRET → use RBI convention + base + weights

DISTRIBUTIONAL / STABILITY LIMIT

- BILATERAL RATE
- TRADE-WEIGHTED NEER

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: INTERPRET → use RBI convention + base + weights.

10

STAGE 10 RESERVE-ADEQUACY DASHBOARD

RESERVE-ADEQUACY DASHBOARD IMPORT COVER SHORT-TERM DEBT BROAD MONEY FINANCING NEED MATURITY + CURRENCY + HEDGING + STRESS

IMPORT COVER

SHORT-TERM DEBT

BROAD MONEY / FINANCING NEED

MATURITY + CURRENCY + HEDGING + STRESS

CONCEPT / ACCOUNTING BASIS

- IMPORT COVER
- SHORT-TERM DEBT

TRANSMISSION / RECONCILIATION

- BROAD MONEY / FINANCING NEED
- MATURITY + CURRENCY + HEDGING + STRESS

DISTRIBUTIONAL / STABILITY LIMIT

- IMPORT COVER
- SHORT-TERM DEBT

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: BROAD MONEY / FINANCING NEED; MATURITY + CURRENCY + HEDGING + STRESS.

11

STAGE 11 EXTERNAL-SECTOR ANSWER SPINE

EXTERNAL-SECTOR ANSWER SPINE CLASSIFY TRANSACTION BY ACCOUNT STATE SIGN STOCK-FLOW CONVENTION TRACE FINANCING + INTERVENTION + LIQUIDITY JUDGE RESILIENCE THROUGH COMPOSITION, NOT HEADLINE

CLASSIFY transaction by account

STATE sign / quote / stock-flow convention

TRACE financing + intervention + liquidity

JUDGE resilience through composition, not headline

CONCEPT / ACCOUNTING BASIS

- CLASSIFY transaction by account
- STATE sign / quote / stock-flow convention

TRANSMISSION / RECONCILIATION

- TRACE financing + intervention + liquidity
- JUDGE resilience through composition, not headline

DISTRIBUTIONAL / STABILITY LIMIT

- CLASSIFY transaction by account
- STATE sign / quote / stock-flow convention

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRACE financing + intervention + liquidity; JUDGE resilience through composition, not headline.

E

EXTRA SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENT BOP IS DOUBLE-ENTRY ACCOUNTING; STATISTICAL DISCREPANCIES REFLECT TIMING, VALUATION FDI IS GENERALLY MORE STABLE AND CONTROL-LINKED THAN PORTFOLIO STERILISED INTERVENTION OFFSETS THE DOMESTIC LIQUIDITY EFFECT OF FOREIGN-EXCHANGE

RESERVE ADEQUACY IS MULTIDIMENSIONAL IMPORT COVER, SHORT-TERM DEBT, BROAD MONEY AND THE IMPOSSIBLE TRINITY CONSTRAINS SIMULTANEOUS EXCHANGE-RATE FIXATION, MONETARY EXTERNAL VULNERABILITY DEPENDS ON CURRENCY DENOMINATION, MATURITY, HEDGING, BORROWER

OPTIONAL MODEL / MEASUREMENT DEPTH

- CAUTION: BoP is double-entry accounting; statistical discrepancies reflect timing, valuation and
- CAUTION: FDI is generally more stable and control-linked than portfolio flows, though both can
- CAUTION: Sterilised intervention offsets the domestic liquidity effect of foreign-exchange
- CAUTION: Reserve adequacy is multidimensional: import cover, short-term debt, broad money and

VINTAGE, BASKET OR LEGAL LIMIT

- CAUTION: The impossible trinity constrains simultaneous exchange-rate fixation, monetary
- CAUTION: External vulnerability depends on currency denomination, maturity, hedging, borrower
- RBI: compiles BoP statistics, manages reserves and intervenes in foreign-exchange
- Ministry of Commerce and Industry: addresses merchandise and services trade policy

COMPARATIVE POLICY NUANCE

- Department of Economic Affairs: manages external borrowing policy and multilateral
- Authorised dealer banks: execute foreign-exchange transactions under FEMA and RBI
- CAUTION: A merchandise deficit can coexist with a modest CAD when services exports and
- CAUTION: An RBI dollar sale supplies foreign currency but absorbs rupee liquidity unless offset

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.